



Lucas Guimarães <lucas@gebeauty.com.br>

More customers. Same revenue. Sound familiar?

2 mensagens

Alex from RetentionX <dtcnewsletter@mail.beehiiv.com>
Responder a: Alex from RetentionX <alexander@retentionx.com>
Para: "lucas@gebeauty.com.br" <lucas@gebeauty.com.br>

5 de março de 2026 às 11:30

March 05, 2026

Your Entry Price Sets Your Retention Ceiling

If your acquisition product is much cheaper than the rest of your portfolio, you're training the wrong customers to love you.

🕒 5-minute read

TLDR: Most brands blame retention when growth stalls. The real culprit is often the hero SKU, a cheap entry point that attracts the wrong customer and sets a ceiling on everything that follows. Here's how to find your hero gap and close it.

The dreaded plateau. Customer acquisition is firing, but the business isn't scaling. It's stagnant. What's happening?

Your customers might be stuck on the bottom rung of the price ladder.

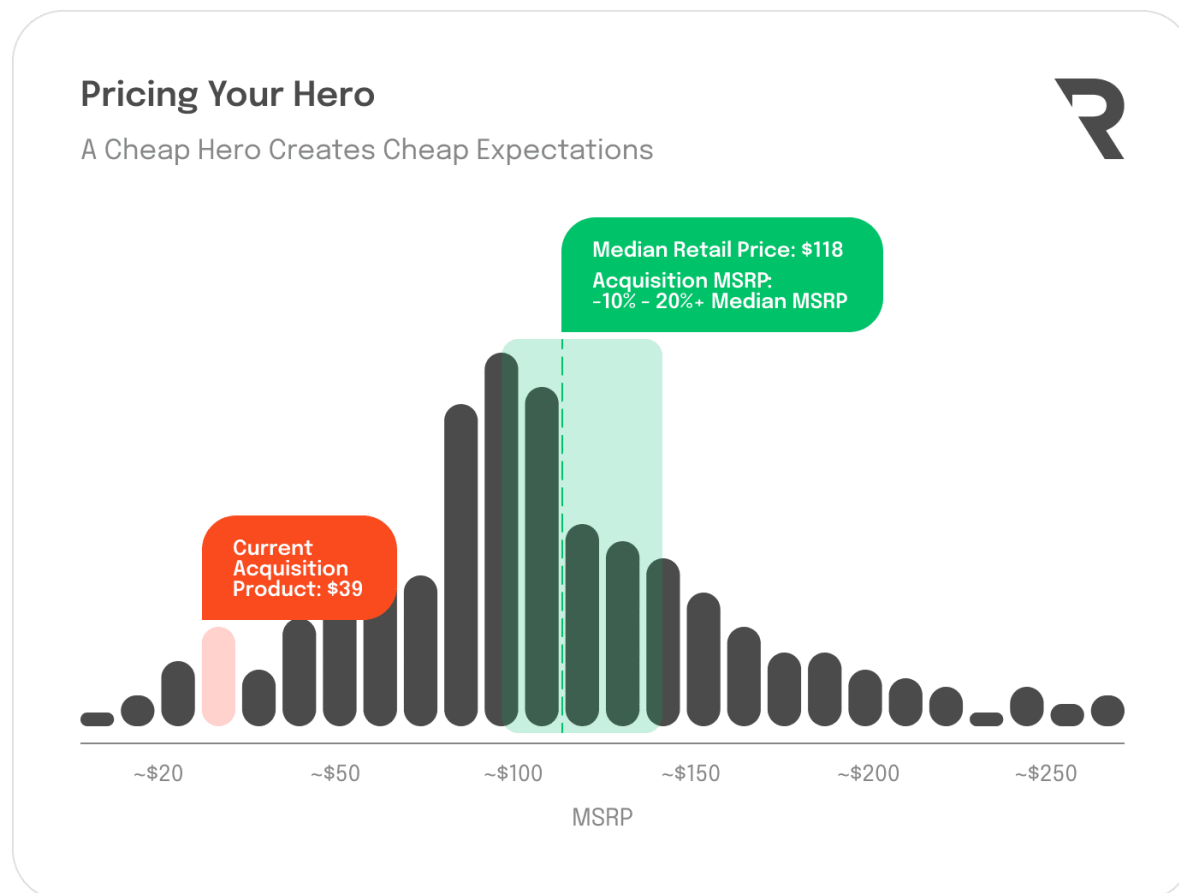
A well-known skincare brand built a breakout product that converted exceptionally well, introducing new customers to the brand at a competitive \$39. So they made it the hero. Front of the site, star of the ads, anchor of the welcome flow. New customer volume climbed. CAC was solid. The team celebrated.

Then reality caught up.

Customers bought the \$39 hero once and disappeared. Upsell attempts failed because the next product in the range was \$100. These customers weren't brand disloyal, there simply were no logical next steps for them. Repeat rates stayed flat. Discounts became the only tool left to force migration into the broader assortment. The customer file kept growing, but the business didn't compound.

This brand didn't fail at retention. They recruited a customer base that was never going to move up the price ladder.

Why Your Customer File Doesn't Compound

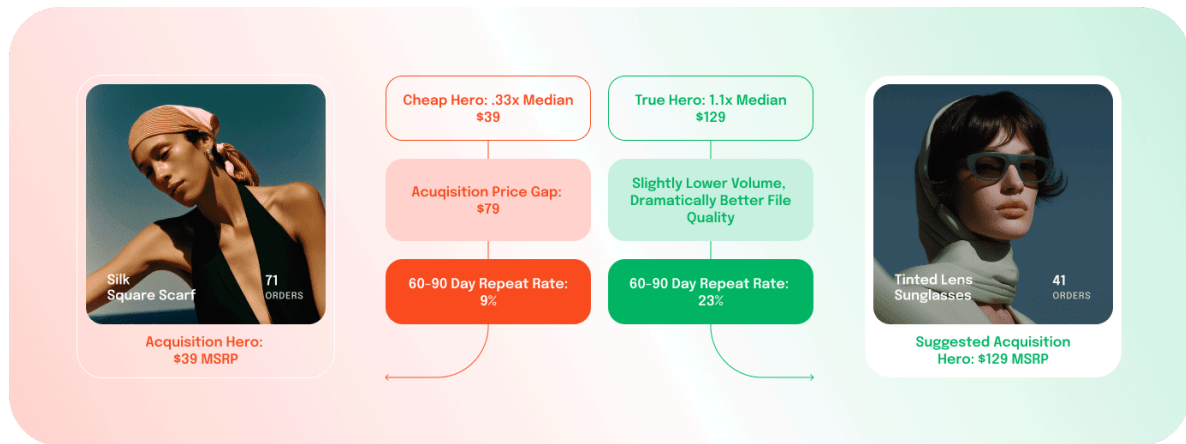


When your hero sits far below your portfolio median, you're attracting shoppers at the edges of their purchasing power. They stretch to buy once, especially on promotion. Then they meet the real price level of your catalog and churn. Not because they dislike you. Because they can't afford to stay.

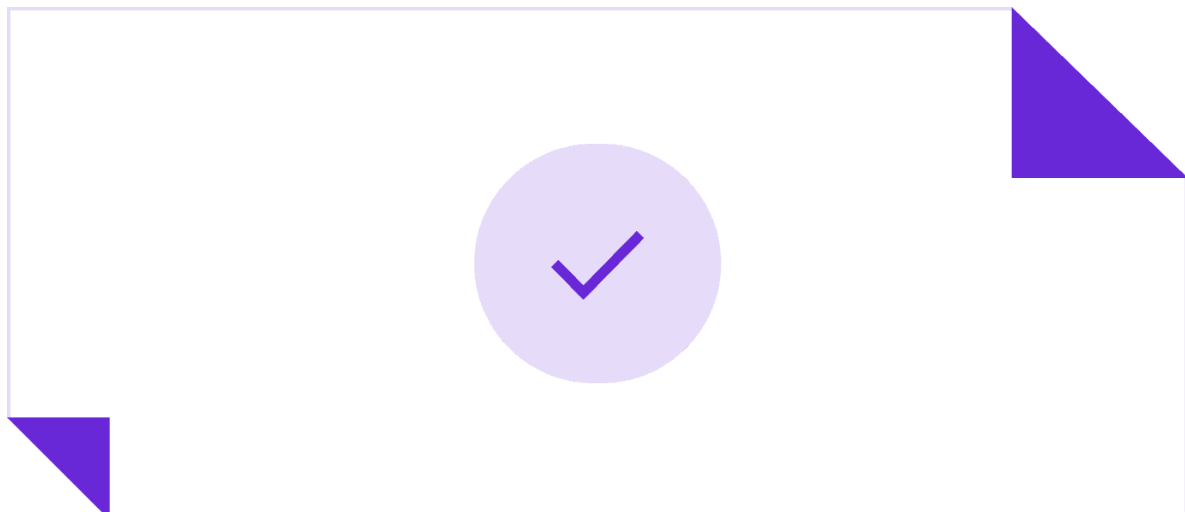
The result is a toxic loop most brands never diagnose: weak repeat rates, heavy discount dependency, rising CAC pressure, and cohorts that don't fund future acquisition. The customer file inflates. The business doesn't.

A hero priced closer to your portfolio median does the opposite. It attracts customers whose willingness to pay actually matches your range. Cross-sell becomes natural. Upsell doesn't require a discount. And the file you build compounds over time rather than leaking at every step.

The 5 Principles of a True Hero



1. **Your hero is your acquisition strategy. And frankly, your brand:** If 60–80% of new customers enter through 1–3 products, those products determine who you attract. Your "bestseller" is your *actual* positioning.
2. **A cheap hero creates cheap expectations.** Even if the product is exceptional, a low entry price anchors what customers think your brand "should cost." That makes full-price conversion harder on everything else in the catalog.
3. **Price ladder fit beats conversion rate.** The best entry product isn't the one that converts easiest. It's the one that creates customers who buy again, buy across the range, and pay back CAC quickly.
4. **The real risk isn't low AOV, it's low migration.** If buyers don't move from entry to core within 30–60 days, you don't have a retention engine. You have a one-time product.
5. **Portfolio economics beat SKU economics.** A \$39 hero can look great on margin and conversion but still be a cohort killer. The only honest measure: 12-month LTV of customers who start with it.



Your Hero Checklist

1. **Calculate your hero gap.** Compare your current hero price to your portfolio median. The bigger the gap, the higher your structural churn risk.
2. **Run the migration test.** For hero entrants, measure within 60–90 days: % who buy again, % who buy a core-range product, and AOV of the second order. Weak

numbers here are the ceiling made visible.

3. **Test a median-priced SKU as your hero for 14 days.** Conversion may dip. CAC may tick up. That's expected, watch early repeat signals instead. They'll tell you whether you're buying a better customer.
4. **Reposition the cheap hero as an add-on or bundle component.** It doesn't need to disappear, it just shouldn't be the front door. Use it to lift AOV once the customer is already in.
5. **Build a guided step-up journey.** Within 14 days of the first order, move buyers into the core range through education, proof, and next-best-offer logic, not another discount.

The Bottom Line

A cheap hero builds a big customer file that doesn't compound. A median-priced hero builds a smaller file that behaves like your ideal customer and becomes dramatically easier to retain, upsell, and scale.

If you want a quick read on your own hero gap, entry price versus portfolio median, and what it's doing to your cohort quality, reply LADDER and I'll tell you exactly what I'd look at first.

-Alex

Update your email preferences or unsubscribe [here](#)

© 2026 RetentionX

228 Park Ave S, #29976, New York, New York 10003, United States

 Powered by beehiiv

Lucas Guimarães <lucas@gebeauty.com.br>
Para: Alex from RetentionX <alexander@retentionx.com>

5 de março de 2026 às 18:55

LADDER



Lucas Guimarães
COO
gebeauty.com.br

Mensagem Confidencial

05/03/2026, 18:58

E-mail de GE Beauty - More customers. Same revenue. Sound familiar?

Esta mensagem contém informações confidenciais e sigilosas. A utilização, cópia, distribuição ou divulgação não autorizada desta mensagem é expressamente proibida. Caso esta mensagem tenha sido recebida por engano, favor informar imediatamente via e-mail e apagá-la juntamente com seus anexos.

Confidentiality Notice

This message contains confidential or privileged information. Unauthorized use, disclosure, dissemination or copying is strictly prohibited. If you are not the intended recipient, please advise the sender immediately by e-mail and delete this message and any attachment.

[Texto das mensagens anteriores oculto]